Synopsys (SNPS): Hold — Valuation Concerns

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The finest shovel in the semiconductor gold rush, priced as if the gold never runs out. At $481.21 the market underwrites roughly 21% five-year revenue CAGR, above even our bull case. We see 34% downside to our $318.46 base case.

Hold — Valuation Concerns	$318.46	$481.21	-34%
RATING	BASE TARGET (BLENDED $321.93)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$229.15 / $421.64	9.36%	~21%	$11.0B	26.8%	1.23
BEAR / BULL TARGETS	LIVE WACC	MARKET-IMPLIED 5-YR CAGR	BACKLOG (Q2 2026)	2026 FCF MARGIN (GUIDED)	EQUITY BETA

Executive summary

We update our Synopsys coverage to **Hold — Valuation Concerns** with a $318.46 base-case target (blended $321.93 across our three scenarios). Synopsys is the highest-quality franchise in our coverage: one half of an EDA duopoly with Cadence, ~38% market share, switching costs that keep retention near 100%, and $11 billion of backlog converting into the next twelve months. Fundamentals are stable to growing, and none of the quality story is in dispute. What is in dispute is the price.

Our five-year DCF, built off the company's raised FY2026 guide ($9.7B revenue, ~$2.6B free cash flow), underwrites revenue CAGRs of 9% / 13% / 16.5% with free cash flow margins expanding from 26.8% toward 24% / 28% / 32%, discounted at a live 9.36% WACC. That yields Bear $229.15, Base $318.46, Bull $421.64. Even the bull case sits 12% below the $481.21 spot.

> **Our read:** the reverse DCF is decisive. To justify $481.21 at a 9.36% discount rate, the market must believe Synopsys compounds revenue at roughly **21% for five straight years**, above our 16.5% bull case and deep into territory no EDA incumbent has ever sustained. Wonderful company, wrong price. We would revisit the name near $290-350.

Base-case assumptions

INPUT	BEAR	BASE	BULL
Revenue CAGR, 2026-31	9.0%	13.0%	16.5%
2031 FCF margin	24%	28%	32%
2031 FCF ($B)	3.6	5.0	6.7
Target per share	**$229.15**	**$318.46**	**$421.64**

WACC 9.36% live (spot 10Y + 1.23 beta x market-implied ERP; debt at 10Y + 150bp, 16% tax). Terminal growth 3.5%. Net debt $6.43B; 192.3M diluted shares.

Bull case: $421.64 AGENTIC EDA WINS

If agentic consumption pricing takes off and Ansys cost synergies exceed plan, Synopsys compounds at 16.5% and pushes free cash flow margins to 32%, ahead of Cadence's mature 28-30%. The $11B backlog converts cleanly, hyperscaler custom-silicon demand broadens the TAM, and deleveraging accelerates buybacks. Our bull case is worth $421.64. Note what that implies: even if everything goes right, the stock is 12% overvalued at $481.21. The bull case is a reason to wait, not to buy.

Bear case: $229.15 CYCLE COOLS

The semiconductor cycle cools just as the Ansys integration hits friction. Hyperscaler custom-silicon budgets get cut, pricing power in the duopoly softens, and the guided 26.8% FCF margin slips back toward 24% as integration costs linger. Revenue compounds at 9% and the market re-rates the multiple on the leverage still sitting on the balance sheet ($10B of debt). Worth $229.15, or 52% below spot.

Verdict

We rate SNPS Hold — Valuation Concerns. This is a valuation call, not a quality call. The duopoly is real, the backlog is real, and the AI-driven complexity tailwind is real: retention near 100%, an $11B backlog covering the FY2026 guide almost twice over, and a raised FY2026 FCF guide to $2.6B are the marks of a fundamentally healthy franchise. Nothing about the operating story has deteriorated. But the $481.21 price already pays for all of it and then some: our reverse DCF shows the market pricing roughly 21% five-year growth, above even our bull case. We reserve Sell for names where overvaluation meets fundamental deterioration; SNPS is the opposite: a superb, stable-to-growing EDA leader at a demanding price. With the 10-year near 5.3%, long-duration growth gets no free pass. We would get constructive near our $318.46 base case. Until then, we see the risk/reward as firmly negative.

What would change our mind

- **Price:** a pullback toward $290-350 would put the stock within our 10% Hold band.
- **Deleveraging ahead of schedule:** net debt falling well below $5B would cut the WACC and lift every scenario.
- **Agentic pricing inflects RPO:** backlog growth re-accelerating into the high teens with royalty-like economics would force us to raise the bull CAGR.

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Key themes

1. The duopoly is the moat STABLE

Synopsys (~38%) and Cadence (~36%) control nearly three-quarters of EDA. Engineers train on one platform for life, and ripping it out mid-tapeout is unthinkable, so retention sits near 100% and pricing stays rational. This is the bedrock of the investment case and it is fully intact.

2. Backlog de-risks the near term ACCELERATING

$11.0B of backlog with 42-46% converting in the next twelve months covers the FY2026 guide almost twice over. The shift toward IP monetization tied to customer production volumes is an underappreciated lever for future RPO growth.

3. Ansys: digestion in progress STABLE

The Ansys deal loaded the balance sheet with $13.5B of debt; it is down to $10.0B with $3.6B of cash on hand. The raised FY2026 FCF guide to ~$2.6B (from ~$1.9B) shows the integration is tracking. Net debt of $6.4B remains the main balance-sheet watch item.

4. Margin normalization is the earnings engine ACCELERATING

Cadence's 28.6% mature FCF margin is the template. As R&D reinvestment normalizes and Ansys synergies land, we see Synopsys marching from 26.8% toward 28%+ by 2031. In the bear case this stalls at 24%.

5. Rates are the headwind DECELERATING

A 5.3% 10-year is a different world than the one that minted EDA multiples. Our live 9.36% WACC is the single biggest reason our targets sit below the market's hopes. Duration cuts both ways.

Other KPIs

METRIC	VALUE
Market cap (at $481.21)	$92.5B
Enterprise value	$98.9B
EV / FY2026 revenue	10.2x
FCF yield on FY2026 guide	2.8%
Total debt / cash	$10.0B / $3.6B
Non-GAAP operating margin (guided)	~41.5%
Recurring revenue mix	80-85%

Guidance (FY2026, Q3 update)

Revenue $9.69-9.74B, operating cash flow ~$2.8B, free cash flow ~$2.6B, capex ~$225M, non-GAAP EPS $15.04-15.10, non-GAAP tax rate 18%, diluted shares 192-194M. The FCF guide raise is the standout: it funds deleveraging and the newly authorized $1B buyback.

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Reverse DCF: what the market is pricing in

At $481.21, Synopsys carries a $92.5B market cap and a $98.9B enterprise value. Holding our 28% base-case FCF margin flat and discounting at the live 9.36% WACC with 3.5% terminal growth, the market-implied five-year revenue CAGR is roughly **21%**.

SCENARIO	IMPLIED / ASSUMED 5-YR CAGR	TARGET
Market-implied	~21%	$481.21 (spot)
Bull case	16.5%	**$421.64**
Base case	13.0%	**$318.46**
Bear case	9.0%	**$229.15**

The market is pricing growth above even our bull case. For context, when the stock traded at $398 in August, the same math implied 12.1%, squarely in line with our base case. The subsequent rally was multiple expansion, not estimate revision. That is the entire Hold — Valuation Concerns thesis in one number.

Model

Full three-scenario DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1mmcB8hJYWVyMpQN53Sa_klmyKwCHSh4ENk-ycQfW0ZY/edit?usp=drivesdk

Risks to our Hold

- **Agentic EDA pricing converts faster than expected, lifting RPO growth into the high teens.**
- **The 10-year falls back toward 4%, mechanically lifting our targets by ~15-20%.**
- **Ansys synergies exceed plan and FCF margins break above 32%.**
- **Takeout speculation: EDA assets are strategically unique, though the $92B market cap limits the buyer pool.**

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